income by Y_1 Y_3 would have been due to the multiplier effect. But in this diagram it is assumed that exogenous investment is only by I_2 I_3 and induced investment is by I_3 I_4. Therefore, increase in income by Y_1 Y_2 is due to the multiplier effect and the increase in income by Y_2 Y_3 is due to the accelerator effect.

4.5.5. Limitations

1. The assumption of constant capital-output ratio is unrealistic.
2. Resources are available only before full employment.
3. Excess capacity in capital goods industries is assumed.
4. Accelerator will work only if the increased demand is permanent.
5. Accelerator will work only when credit is available easily.
6. If there is unused or excess capacity in the consumer goods industry, the accelerator principle would not work.

4.6 Super Multiplier: (k and β interaction)

The super multiplier is greater than simple multiplier which includes only autonomous investment and no induced investment, while super multiplier includes induced investment.

In order to measure the total effect of initial investment on income, Hicks has combined the k and β mathematically and given it the name of the Super Multiplier. The super multiplier is worked out by combining both induced consumption and induced investment.

4.6.1. Leverage Effect

The combined effect of the multiplier and the accelerator is also called the leverage effect which may lead the economy to very high or low level of income propagation.

Symbolically

$$Y = C + I_A + I_P$$

Y = Aggregate income.

C = Consumption expenditure

I_A = autonomous investment

I_P = induced private investment

Summary

The chapter consumption function and investment function can be summarised under three heads.

The consumption function deals with relationship between national income and consumption expenditure Viz APC, MPC and APS, MPS. The subjective and objective factors determine consumption function.

The investment function includes autonomous investment and the induced investment, the functional relationship between interest rate and the investment, the role of MEC and rate of interest in determining the investment.

The multiplier is directly related to MPC and inversely related to MPS. The accelerator principle explains the effect of changing consumption expenditure upon volume of investment. The interaction of multiplier and accelerator is called super multiplier.

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